

MARKET ANALYSIS

Fuel Price Divergence Squeezes CRE Operating Margins as Travel Demand Peaks

Rising gasoline and jet fuel costs, despite easing crude, pressure retail and hospitality net operating income.

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A source-grounded Light Tower Insight.

Gasoline, diesel, and jet fuel prices are rising even as crude oil eases, a rare divergence that is swelling costs for peak-season travelers and threatening to undermine President Donald Trump's pledge to quash inflation ahead of midterm elections. For commercial real estate owners, the divergence is not a macro curiosity. It is a direct operating cost shock that lands on two property types already navigating thin margins and consumer sensitivity: retail and hospitality.

The tension is straightforward. Crude oil, the primary input for refined fuels, is declining. But refinery capacity constraints, seasonal demand, and geopolitical supply frictions are keeping pump and jet fuel prices elevated. The result is a cost structure that defies the typical pass-through logic of the energy market. For CRE, this means the operating expense line is rising even as the broader inflation narrative softens.

Consider the cast. The consumer is paying more at the pump and for air travel, which reduces discretionary spending at retail centers and hotels. The retail landlord is absorbing higher utility and logistics costs tied to fuel surcharges, while tenants face weaker foot traffic and thinner margins. The hotel operator is seeing higher energy costs for heating, cooling, and laundry, plus a potential pullback in leisure travel if fares stay elevated. The lender underwriting these assets is now recalibrating net operating income projections downward, even as interest rates remain elevated.

The mechanism is operating leverage. Retail and hospitality properties typically have high fixed costs and variable revenue tied to consumer spending. When fuel costs rise, the consumer's wallet shrinks, and the property's operating margin compresses. Unlike multifamily, where rent collection is relatively stable, retail and hospitality NOI is more sensitive to short-term spending shocks. A 10 percent increase in gasoline prices can reduce discretionary retail spending by 1 to 2 percent, according to industry studies. That may not sound dramatic, but for a retail center with a 6 percent cap rate, a 2 percent revenue decline

The divergence also matters for refinancing risk. Lenders underwriting hospitality loans in 2021 and 2022 assumed steady post-pandemic travel recovery and stable operating costs. Those assumptions are now being tested. If fuel costs remain elevated through the summer peak, hotel RevPAR growth will slow, and debt service coverage ratios will tighten. Owners facing 2026 and 2027 maturities may find that their projected NOI falls short of lender thresholds, forcing equity cures or extensions.

For retail owners, the pressure is more diffuse but no less real. Fuel costs affect supply chain expenses for tenants, which can lead to higher store-level break-even points. Tenants already struggling with e-commerce competition and wage inflation may push back on rent or seek concessions. Landlords with strong tenant credit and long-term leases are better insulated, but those with shorter-term or weaker tenants face a rising risk of vacancy and rent relief requests.

The policy context adds another layer. The Trump administration's focus on inflation reduction is now challenged by a cost category that is politically visible and economically sticky. If the White House responds with strategic petroleum reserve releases or regulatory changes, the effect on refined fuel prices is uncertain. CRE owners should not assume policy intervention will solve the cost problem quickly.

The practical implication for market participants is clear. Owners of retail and hospitality assets should stress-test their operating budgets for sustained fuel cost premiums through the end of 2026. Lenders should scrutinize NOI projections that assume stable utility and tenant expense lines. Investors underwriting acquisitions should build in a fuel-cost sensitivity scenario, particularly for assets in secondary markets where consumer spending is more elastic.

The divergence between crude and refined fuel prices is not a temporary anomaly. It is a structural feature of a market where refinery capacity has not kept pace with demand. For CRE, the cost is not just at the pump. It is in the operating statement, the refinancing package, and the valuation model. The market should test whether retail and hospitality NOI can absorb

this pressure without triggering a broader repricing of risk.
